

As seen, it is a healthy number here and quite steady at 15-16% and reduced significantly in FY2021 to 9.93%. This means that the company is able to generate six times its working capital as revenue. This has to be understood in combination with the company's margin and fixed asset requirement.

Adding the working capital and fixed asset requirement, we can understand the total capital requirement by the company. This will give us an idea of how asset-intensive or asset-light the company is.



Asset Intensive



Asset Light

Some important things to understand or note are-

Understand the impact of seasonality in working capital requirements.

Identify quarterly trends in working capital requirements.

Understand whether the company can fund its working capital at the peak cash requirement.

EXAMPLE

In umbrella businesses, during monsoons, the working capital swells up in order to sell their umbrellas and maintain inventory. However, in dry seasons, the same company's working capital decreases due to low accounts receivables and accounts payables.

working capital



In many businesses in India, the working capital requirement peaks during some seasons, like the festive season or the wedding season.

So, there is a need to look at the quarterly numbers for a company to see if the rise in working capital is seasonal. We can also track quarterly data to understand the same. However, for Pidilite, the sale is not seasonal and working capital requirement is evened out. For other companies we must understand their seasonal working capital requirements.